

Greif Class A (GEF) — Pitch Deck

Adjudicated 2026-08-31 · Recommended class: A (NYSE: GEF) · Position: 0.5% starter (62 sh @ \$83.00 limit staged, instruction 103 — restage if lapsed unclicked) · Tape at ruling: A \$82.94 (–1.4%) / B \$105.56 · Fiscal year now ends September 30 · Next report ~Nov 5 (unconfirmed)

What the company does

Greif makes the boring containers industry runs on: steel and plastic drums, jerrycans, and intermediate bulk containers — the packaging layer for chemicals, lubricants, food ingredients and agriculture, sold globally to customers who reorder for decades. A smaller sheet-fed containerboard segment remains after the company sold its main containerboard business to Packaging Corp of America. That divestiture is the pivot of the story: proceeds cut net leverage from **3.1x to 1.1x**, converting a leveraged packaging conglomerate into a lightly-levered industrial cash machine.

Business health (verified at ruling; EDGAR was in maintenance, so figures come from the company's own release and call transcript, cross-consistent — EDGAR re-pull is a queued drain)

Measure	Value	Read
Q3 adjusted EBITDA	\$183.4M	+24.7% year over year
FY26 EBITDA guide	\$615–635M	raised at the Q3 report
Free-cash-flow guide	\$305–325M	~7.3% yield on the A+B equity
Net debt / leverage	\$741.9M / 1.1x	was 3.1x before the divestiture
EV / EBITDA (guide-mid)	8.1x	rebuilt from per-class share counts
Dividend yield (A)	~3.0%	IBKR live 2.74% corroborates
Organic volume	flat	cost-out (~\$30M remaining) is driving the EBITDA growth
Damaged segment	Sheet-fed (23% of EBITDA, – \$6.3M adj EBITDA)	dated catalyst: RISI recognition of the June \$60/ton price increase

A correction this deck bakes in: the numbers originally routed to this court claimed a 10.1% FCF yield and 8.4x EV/EBITDA. Those inherited a vendor artifact — data vendors print the *combined* company share count on each class row, overstating per-class market caps ~23%. The court rebuilt everything from primary per-class counts (25.1M A + 21.4M B): **7.3% and 8.1x** are the honest numbers, and the position is sized to them.

Why Class A and not Class B

The charter allocates cash 1:1.5 — the B share carries 1.5x the A's dividend and earnings claim. At A \$82.94 / B \$105.56 the ratio (1.28) sits *inside* that fair band, so neither class is mispriced against the other (that pair trade was courted separately today and killed). The reason to own A specifically:

- **The buyback prefers A.** Historical repurchases ran **5:1 A-over-B** (1,813,600 A vs 371,449 B), and the buyback is restarting. The A holder owns the retained-cash strip.
- **A is the liquid class;** ~45% of B is held by the founding family and rarely trades.
- **Honest caveat, pre-registered as the kill-variable:** the 5:1 skew is management practice, *not* a charter right. The FY26 10-K discloses the per-class split — if it comes in below 3:1, the specific reason to own A over B is gone (B carries the bigger cash claim), and the ruling says so in advance rather than discovering it later.

Why a starter now (and why only a starter)

- **No named kill survives.** The court examined the disclosure surface twice today (pair court + survivor court). The insider cluster was read at the source: 9 Form 4s + 3 Form 144s in August decompose to small officer sales in the open window after the July print (~\$175k scale) — routine, not family distribution.
- **But the price is fair, not dislocated:** 8.2% off the 52-week high, +51% off the low, at a fair-quality multiple. Under the house rule for fair-priced quality, that sizes at 0.5% with price-laddered tranches — you're paid ~7.3% FCF yield (~3% of it in cash) to wait for either the cycle or the bands.
- **The governance discount is the entry price, not a bug.** Family control isn't going away; it's why the yield exists.

Position and ladder

Level	Meaning	Action
≤\$83.00	at/below ruling tape — no chase	Starter 0.5% (62 sh) — staged
≤\$76.00	~8.0x EV/EBITDA	Add (strengthens if the sheet-fed catalyst lands)
≤\$73.00	~7.5x	Add

Tranche 2 is drain-gated, not automatic: it needs (1) the EDGAR re-pull of Q3 figures now that SEC maintenance is ending, and (2) the full insider tally with 10b5-1 adoption dates.

What resolves it (pre-registered — no discretion at the events)

When	Event	Rule
~Nov 5 (Q4/FY26 report; date unconfirmed — PR watch queued)	Q4 adjusted FCF	≥\$109M (the guide-low arithmetic requires it) → intact; miss → exit review

When	Event	Rule
same	Sheet-fed segment	sequential stabilization OR RISI recognizes the \$60/ton → the ≤\$76 add strengthens
same	FY guide	any guide-down of the \$615–635M base → exit
~Jan 2027 (FY26 10-K)	Class A:B repurchase split	≥3:1 sustains the A-preference; <3:1 kills it

Frozen forecasts: $P(Q4\ FCF \geq \$109M) = 0.60 \cdot P(RISI\ \$60/ton\ recognized\ by\ the\ report) = 0.55 \cdot P(10-K\ split \geq 3:1) = 0.65$.

Honest risk list

1. **Packaging cycle** — 8.1x is fair only if post-divestiture EBITDA holds; industrial destocking hits drum volumes directly, and organic volume is already flat (the growth is cost-out, which ends).
2. **Family control** — 45% of B (and its votes) is never yours; the discount can persist indefinitely. The yield is the compensation, not a catalyst.
3. **The A-preference is discretionary** — if the restarted buyback stops favoring A, own-the-A weakens; the January 10-K grades this by rule.
4. **Sheet-fed drag** — 23% of EBITDA is losing money at the adjusted line; the \$60/ton recognition is expected, not guaranteed.
5. **Verification gap at ruling** — EDGAR was down; decisive numbers came from the company's own release cross-checked against the call transcript, with the primary re-pull queued and gating any adds.

Court record

Dual-class screen (1st-percentile A/B spread) → pair court: refutability → red → blue → adjudication **KILLED** (spread is charter-structural; screen amended with a charter-claims gate) → survivor court on outright Class A: refutability park ratified at adjudication — **STARTER 0.5% ≤\$83 + 76/73 ladder**, full bench remand denied (court-worthiness 5/10; a full court would move price, not verdict). Two packs armed, three forecasts frozen, one detector proposed (pitch_yield_reconciliation_gate — rebuild routed theses' headline yields from per-class primary counts before benches spend on them). Artifacts: GEF_ADJUDICATION_202608311515.md · GEF_REFUTABILITY_202608311531.md · GEF_SURVIVOR_ADJUDICATION_202608311900.md.